1. **Untrue statement in Prospectus [Sec.34]**

The auditor is liable when he authorizes a false or untrue prospectus. When a prospectus includes any untrue statement, every person who authorizes the issue of prospectus shall be imprisoned for a period of six months to ten years or with a fine, which may be three times the amount involved in the fraud or with both.

2. **Non compliance by auditor [Sec. 143 and 145]:**

If the auditor does not comply regarding making his report or signing or authorization of any document and makes willful neglect on his part he shall be punishable with imprisonment upto one year or with fine not less than ₹. 25,000 extendable to ₹. 5,00,000.

3. **Failure to assist investigation [Sec.217 (6)]:**

When Central Government appoints an Inspector to investigate the affairs of the company, it is the duty of the auditor to produce all books, documents and to provide assistance to the inspectors. If the auditor fails to do so he shall be punishable with imprisonment upto one year and with fine up to ₹.1,00,000.

4. **Failure to assist prosecution of guilty officers [Sec.224]:**

An auditor is required to assist prosecution when Central Government takes any action against the report submitted by the Inspector. If he fails to do so, he is found guilty and is punishable.

5. **Failure to return property, books or papers [Sec.299]:**

When a company is wound up the auditor is supposed to be present and subject himself to a private examination by the court and is also liable to return to the court any property, books or papers relating to the company. If the auditor does not comply, he may be imprisoned.

6. **Penalty for falsification of books [Sec.336]:**

An auditor when destroys, mutilates, alters or falsifies or secrets any books of account or document belonging to the company. He shall be punishable with imprisonment and also be liable to fine.

7. **Prosecution of auditor [Sec.342]:**

In the course of winding up of a company by the Tribunal, if it appears to the Tribunal that an auditor of the company has been guilty of an offence, it shall be the duty of the auditor to give all assistance in connection with the prosecution. If he fails to give assistance he shall be liable to fine not less than ₹ 25,000 extendable upto ₹1,00,000.

8. **Penalty for deliberate act of commission or omission [Sec.448]:**

If an auditor deliberately makes a statement in any report, certificate, balance sheet, prospectus, etc which is false or which contains omission of material facts, he shall

Chapter_09.indd 138 12/23/2019 3:17:41 PM